

Midea Group 000333.SZ 000333 CH

EQUITY: CONSUMER RELATED

Solid strategy and execution lead to strong results

Steady improvement in 2Q26 despite sector headwinds; shareholder returns provide extra share price support

2Q26 results were of high quality; shareholder returns offer additional share price support

Midea announced its 2Q26 results (28 August) with a set of generally solid numbers, in our view, despite the home appliance sector's headwinds. The quarterly revenue increased by 4.5% y-y to CNY129.5bn, mainly driven by the resilient sales performance of the 2C business and building technologies/ KUKA segments; 2Q26 net profit increased slightly by 1.3% y-y to CNY13.8bn, while 2Q26 adjusted net profit declined by 36% y-y, mainly due to the unfavourable FX trend (FX hedging cost of CNY3.6bn) and impairment/ provision of CNY1.1bn; excluding these items, Midea's 2Q26 core earnings would have declined by 6% y-y, still outperforming its major peers. For 1H26, Midea has delivered a 3.5% y-y increase in revenue to CNY261bn and a 1.7% y-y growth in net profit to CNY26.4bn. Meanwhile, Midea has declared an interim DPS of CNY0.5; considering: 1) Midea's committed share repurchases (already completed c.CNY8bn of buybacks YTD, out of the CNY13bn quota), 2) management's intention to distribute most of its profit over the next three years, and 3) that it is possible for Midea to share its investment return in ChangXin Memory Technologies (688825 CH, Buy, covered by Donnie Teng), if realized, with shareholders. Hence, we see attractive potential for shareholder returns for Midea. We reiterate our Buy rating with a slightly higher target price of CNY99.50 (CNY98.50 earlier).

Resilient profitability amid sector headwinds

Midea saw a 1pp y-y moderation in its gross margin to 25.2% in 2Q26, mainly due to the negative impact from rising raw material costs (mainly copper and plastic) and CNY's appreciation; the company didn't factor-in the margin-accretive tariff refund in 2Q26. We expect Midea's gross and operating margins to improve in 2H26F, mainly driven by potentially more favourable raw material costs and Midea's strict cost control. Consequently, we still expect a 6% y-y increase in the company's FY26F earnings.

Maintain Buy and lift target price to CNY99.50, implying 15.4% upside

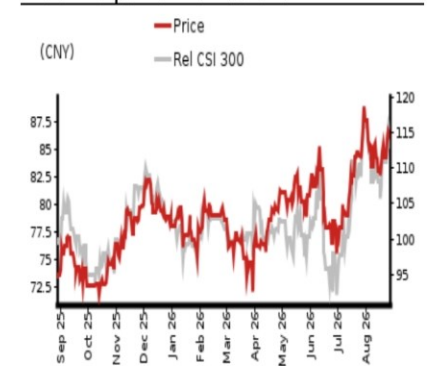
Midea remains one of the most attractive names in the China home appliances sector, in our view. We keep our FY26-28F revenue estimates unchanged and increase our FY26-28F earnings estimates by 1-2% to factor in our slightly more optimistic margin outlook. We lift our target price to CNY99.50 (from CNY98.50), based on an unchanged 16.0x target F12M P/E applied to our FY26F earnings estimate. Midea currently trades at an FY26F P/E of 13.9x.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	458,502	491,071	491,071	519,379	519,379	543,682	543,682
Reported net profit (mn)	43,945	46,551	46,998	49,603	50,118	52,438	53,248
Normalised net profit (mn)	43,945	46,551	46,998	49,603	50,118	52,438	53,248
FD normalised EPS	5.81	6.16	6.22	6.56	6.63	6.94	7.04
FD norm. EPS growth (%)	6.7	5.9	6.9	6.6	6.6	5.7	6.2
FD normalised P/E (x)	14.8	—	13.9	—	13.0	—	12.2
EV/EBITDA (x)	9.6	—	9.6	—	8.6	—	7.8
Price/book (x)	2.9	—	2.7	—	2.5	—	2.3
Dividend yield (%)	5.0	—	5.4	—	5.8	—	6.1
ROE (%)	20.0	19.9	20.1	19.6	19.8	19.3	19.5
Net debt/equity (%)	net cash	2.3	2.2	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	CNY 99.50
Increased from	CNY 98.50
Closing price	CNY 86.23
28 August 2026	
Implied upside	+15.4%
Market Cap (USD mn)	89,330.9
ADT (USD mn)	420.4

Relative performance chart



Source: LSEG, Nomura

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Key data on Midea Group

Performance

(%)	1M	3M	12M		
Absolute (CNY)	1.0	9.2	17.3	M cap (USDmn)	89,330.9
Absolute (USD)	1.7	10.2	24.7	Free float (%)	37.8
Rel to CSI 300	-0.3	15.0	13.6	3-mth ADT (USDmn)	420.4

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	409,084	458,502	491,071	519,379	543,682
Cost of goods sold	-299,585	-335,990	-361,041	-381,224	-397,971
Gross profit	109,499	122,513	130,030	138,155	145,712
SG&A	-63,106	-69,534	-72,728	-77,026	-80,915
Employee share expense	0	0	0	0	0
Operating profit	46,394	52,979	57,301	61,129	64,797
EBITDA	54,218	62,318	64,330	69,368	73,457
Depreciation	-7,824	-9,340	-7,028	-8,239	-8,660
Amortisation	0	0	0	0	0
EBIT	46,394	52,979	57,301	61,129	64,797
Net interest expense	3,329	5,904	5,313	5,313	5,313
Associates & JCEs	0	0	0	0	0
Other income	-3,033	-5,797	-5,797	-5,797	-5,797
Earnings before tax	46,690	53,085	56,817	60,645	64,313
Income tax	-7,933	-8,565	-9,345	-10,021	-10,527
Net profit after tax	38,757	44,520	47,473	50,624	53,786
Minority interests	-220	-575	-475	-506	-538
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	38,537	43,945	46,998	50,118	53,248
Extraordinary items	0	0	0	0	0
Reported NPAT	38,537	43,945	46,998	50,118	53,248
Dividends	-26,712	-32,361	-35,248	-37,588	-39,936
Transfer to reserves	11,826	11,585	11,749	12,529	13,312

Valuations and ratios

Reported P/E (x)	15.8	14.8	13.9	13.0	12.2
Normalised P/E (x)	15.8	14.8	13.9	13.0	12.2
FD normalised P/E (x)	15.8	14.8	13.9	13.0	12.2
Dividend yield (%)	4.1	5.0	5.4	5.8	6.1
Price/cashflow (x)	10.1	12.2	23.6	9.3	8.9
Price/book (x)	2.8	2.9	2.7	2.5	2.3
EV/EBITDA (x)	11.0	9.6	9.6	8.6	7.8
EV/EBIT (x)	12.9	11.3	10.8	9.8	8.9
Gross margin (%)	26.8	26.7	26.5	26.6	26.8
EBITDA margin (%)	13.3	13.6	13.1	13.4	13.5
EBIT margin (%)	11.3	11.6	11.7	11.8	11.9
Net margin (%)	9.4	9.6	9.6	9.6	9.8
Effective tax rate (%)	17.0	16.1	16.4	16.5	16.4
Dividend payout (%)	69.3	73.6	75.0	75.0	75.0
ROE (%)	20.3	20.0	20.1	19.8	19.5
ROA (pretax %)	9.5	9.7	10.4	10.7	11.2

Growth (%)

Revenue	9.5	12.1	7.1	5.8	4.7
EBITDA	13.7	14.9	3.2	7.8	5.9
Normalised EPS	10.3	6.7	6.9	6.6	6.2
Normalised FDEPS	10.3	6.7	6.9	6.6	6.2

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	54,218	62,318	64,330	69,368	73,457
Change in working capital	-34,127	-35,541	-32,699	5,488	4,825
Other operating cashflow	40,421	26,568	-4,032	-4,708	-5,214
Cashflow from operations	60,512	53,346	27,599	70,148	73,068
Capital expenditure	-7,840	-11,142	-11,142	-11,142	-11,142
Free cashflow	52,672	42,204	16,457	59,006	61,926
Reduction in investments	0	0			
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0				
Inc in other LT liabilities	0				
Adjustments	-80,062	36,482	0	0	0
CF after investing acts	-27,390	78,686	16,457	59,006	61,926
Cash dividends	-23,736	-29,536	-33,804	-36,418	-38,762
Equity issue	630	-59	0	0	0
Debt issue	12,814	-23,205	0	0	0
Convertible debt issue	0	0	0	0	0
Others	32,914	-12,497	0	0	0
CF from financial acts	22,622	-65,296	-33,804	-36,418	-38,762
Net cashflow	-4,769	13,390	-17,347	22,588	23,164
Beginning cash	59,887	55,119	68,509	51,162	73,750
Ending cash	55,119	68,509	51,162	73,750	96,913
Ending net debt	-13,618	-11,945	5,402	-17,186	-40,350

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	55,119	68,509	51,162	73,750	96,913
Marketable securities	0	0	0	0	0
Accounts receivable	35,799	40,450	54,563	57,709	60,409
Inventories	63,339	64,629	70,412	74,348	77,614
Other current assets	234,807	243,075	243,075	243,075	243,075
Total current assets	389,064	416,662	419,212	448,881	478,012
LT investments	0	0	0	0	0
Fixed assets	38,893	48,038	52,152	55,055	57,536
Goodwill	0	0	0	0	0
Other intangible assets	17,009	21,619	21,619	21,619	21,619
Other LT assets	159,386	122,472	122,472	122,472	122,472
Total assets	604,352	608,792	615,455	648,027	679,639
Short-term debt	31,009	43,905	43,905	43,905	43,905
Accounts payable	92,800	103,680	81,845	86,563	90,614
Other current liabilities	228,011	195,799	204,832	212,684	219,425
Total current liabilities	351,820	343,384	330,582	343,151	353,943
Long-term debt	10,492	12,659	12,659	12,659	12,659
Convertible debt	0	0	0	0	0
Other LT liabilities	14,373	16,325	16,325	16,325	16,325
Total liabilities	376,684	372,368	359,566	372,135	382,927
Minority interest	11,641	12,216	12,690	13,197	13,734
Preferred stock	0	0	0	0	0
Common stock	7,656	7,597	7,597	7,597	7,597
Retained earnings	208,371	216,611	235,602	255,098	275,381
Proposed dividends	0	0	0	0	0
Other equity and reserves	0	0	0	0	0
Total shareholders' equity	216,027	224,209	243,199	262,695	282,978
Total equity & liabilities	604,352	608,792	615,455	648,027	679,639

Liquidity (x)

Current ratio	1.11	1.21	1.27	1.31	1.35
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	0.08	net cash	net cash
Net debt/equity (%)	net cash	net cash	2.2	net cash	net cash

Per share

Reported EPS (CNY)	5.45	5.81	6.22	6.63	7.04
Norm EPS (CNY)	5.45	5.81	6.22	6.63	7.04
FD norm EPS (CNY)	5.45	5.81	6.22	6.63	7.04
BVPS (CNY)	30.55	29.66	32.17	34.75	37.43
DPS (CNY)	3.51	4.28	4.66	4.97	5.28

Activity (days)

Days receivable	30.6	30.3	35.3	39.5	39.8
Days inventory	67.4	69.5	68.3	69.3	69.9
Days payable	100.7	106.7	93.8	80.6	81.5
Cash cycle	-2.7	-6.9	9.8	28.1	28.2

Source: Company data, Nomura estimates

Company profile

Midea is a global technology group comprising five major business divisions: the smart home business group, the industrial technology business group, the building technologies division, the robotics & automation division, and the digital innovation business.

Valuation Methodology

Our target price of CNY99.50 is based on 16.0x F12MF P/E which represents +1SD above the historical mean. The benchmark index for this stock is the CSI300 Index.

Risks that may impede the achievement of the target price

Downside risks include high commodity price, intensifying price competition and further worsening of the macroeconomic factors.

ESG

Midea is a POE home appliance company with its headquarter in Foshan, Guangdong province. Midea's current chairman is Mr. Fang Hongbo. The biggest shareholder of Midea is Mr. He Xiangjian with 31.0% shareholding (as of end-June 2022). There are nine members on the board of Midea, with three being independent directors. Midea has: 1) built a transparent, safe, cost-effective and sustainable industrial chain system, and 2) expanded the coverage of green home appliances.

Fig. 1: Midea – 2Q26 results summary

(CNY mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Total revenue	128,428	123,903	112,385	93,786	131,581	129,472
COGS	(95,307)	(91,479)	(82,333)	(66,870)	(97,575)	(96,792)
Gross profit	33,121	32,424	30,051	26,916	34,006	32,680
Selling expenses	(11,875)	(11,178)	(9,783)	(10,056)	(11,356)	(10,190)
Admin expenses	(3,537)	(3,720)	(3,720)	(5,116)	(3,681)	(3,934)
R&D	(4,348)	(4,419)	(4,178)	(4,843)	(4,166)	(4,302)
Core operating profit	13,362	13,108	12,371	6,901	14,803	14,254
NP attributable	12,422	13,591	11,870	6,062	12,675	13,771
Adjusted NP attributable	12,750	13,486	10,905	4,127	10,962	8,633
% GPM	25.8%	26.2%	26.7%	28.7%	25.8%	25.2%
% Core OPM	10.4%	10.6%	11.0%	7.4%	11.3%	11.0%
% NPM	9.7%	11.0%	10.6%	6.5%	9.6%	10.6%
% Adjusted NPM	9.9%	10.9%	9.7%	4.4%	8.3%	6.7%
% y-y						
Total revenue	20.6%	11.0%	9.9%	5.7%	2.5%	4.5%
COGS	22.3%	11.6%	8.3%	5.0%	2.4%	5.8%
Gross profit	15.9%	9.3%	14.7%	7.4%	2.7%	0.8%
Selling expenses	20.7%	10.2%	9.8%	1.9%	-4.4%	-8.8%
Admin expenses	6.7%	10.1%	1.4%	23.4%	4.1%	5.8%
R&D	20.9%	8.6%	11.7%	0.2%	-4.2%	-2.6%
Core operating profit	13.0%	8.6%	25.1%	11.1%	10.8%	8.7%
NP attributable	38.0%	15.1%	8.9%	-11.3%	2.0%	1.3%
Adjusted NP attributable	38.0%	23.2%	7.0%	-23.1%	-14.0%	-36.0%
% GPM	-1.0%	-0.4%	1.1%	0.5%	0.1%	-0.9%
% Core OPM	-0.7%	-0.2%	1.3%	0.4%	0.8%	0.4%
% NPM	1.2%	0.4%	-0.1%	-1.2%	0.0%	-0.3%
% Adjusted NPM	1.3%	1.1%	-0.3%	-1.6%	-1.6%	-4.2%

Source: Company data, Nomura research

Fig. 2: Midea – changes to our forecasts

	Current forecast			Previous forecast			% change		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	491,071	519,379	543,682	491,071	519,379	543,682	0.0%	0.0%	0.0%
Gross profit	130,030	138,155	145,712	130,030	138,155	145,712	0.0%	0.0%	0.0%
Net profit	46,998	50,118	53,248	46,551	49,603	52,438	1.0%	1.0%	1.5%
% GPM	26.5%	26.6%	26.8%	26.5%	26.6%	26.8%			
% NPM	9.6%	9.6%	9.8%	9.5%	9.6%	9.6%			
y-y									
Revenue	7.1%	5.8%	4.7%	7.1%	5.8%	4.7%			
Gross profit	6.1%	6.2%	5.5%	6.1%	6.2%	5.5%			
Net profit	6.9%	6.6%	6.2%	5.9%	6.6%	5.7%			
% GPM	-0.2%	0.1%	0.2%						
% NPM	0.0%	0.1%	0.1%						

Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Midea Group	000333 CH	CNY 86.23	28-Aug-2026	Buy	N/A	A11,A35
ChangXin Memory Technologies	688825 CH	CNY 58.60	28-Aug-2026	Buy	N/A	

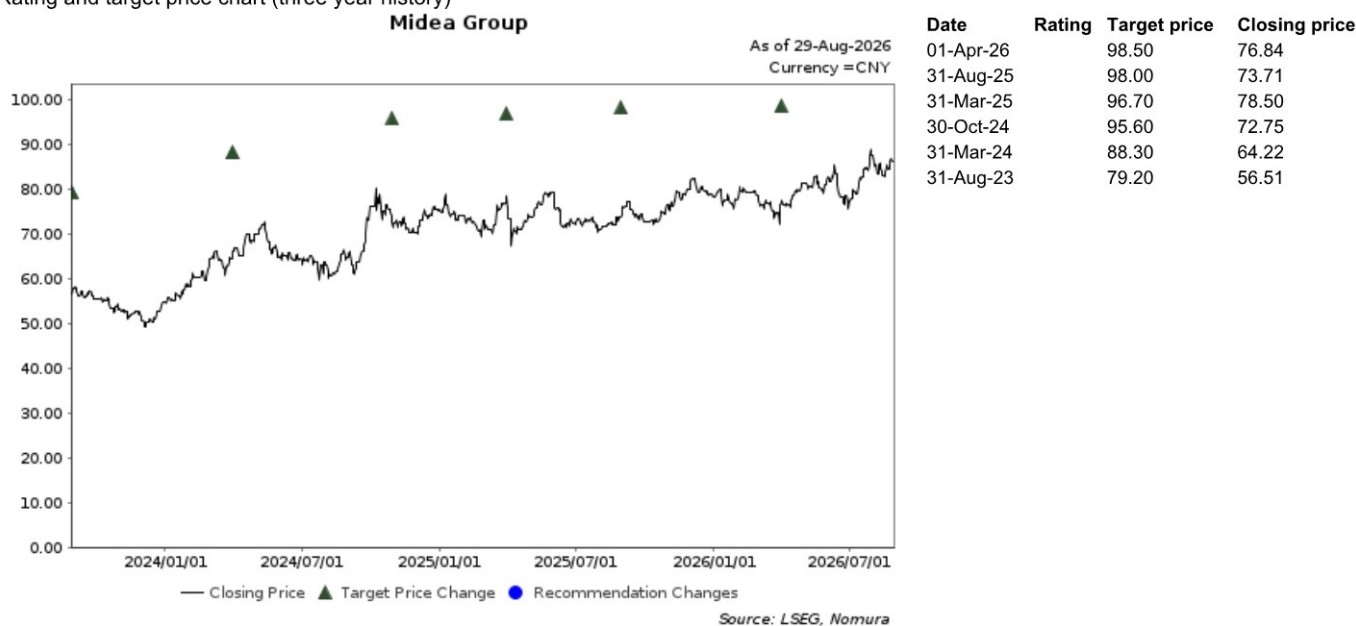
A11 The Nomura Group beneficially owns 1% or more of a class of common equity securities of the subject company.

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Midea Group (000333 CH)

CNY 86.23 (28-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

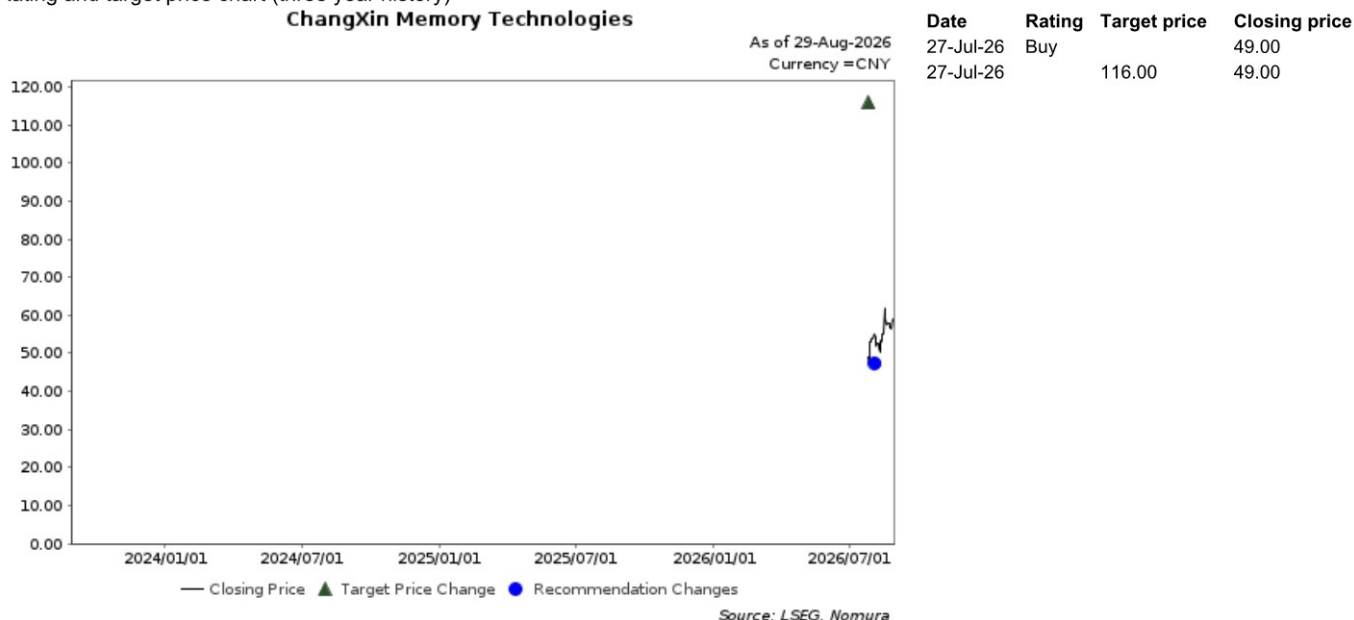
Valuation Methodology Our target price of CNY99.50 is based on 16.0x F12MF P/E which represents +1SD above the historical mean. The benchmark index for this stock is the CSI300 Index.

Risks that may impede the achievement of the target price Downside risks include high commodity price, intensifying price competition and further worsening of the macroeconomic factors.

ChangXin Memory Technologies (688825 CH)

CNY 58.60 (28-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

ChangXin Memory Technologies

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP CNY116 is based on 20x 2028F EPS of CNY5.8. We assign a 20x target P/E multiple as we expect CXMT to trade twice the valuation of its major US competitor, Micron, which has traded at ~10x over the past five years, due to CXMT's market share gains and the higher valuation multiples in the China market. The benchmark index is CSI300

Risks that may impede the achievement of the target price Downside risks include: (1) worsening of end demand; (2) intensifying competition from domestic peers such as YMTC; (3) insufficient supply of IC and components such as CPUs; and (4) escalation of geopolitical tensions between the US and China.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an

appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

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Target Price

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